

[Table 52.11](#) shows special features of rectangle tops: partial rises and declines. [Figure 52.1](#) shows an example (not really a good one, though) of what a partial decline looks like, in case you are unfamiliar with them. Consult the Glossary for more information on partial rises and declines.

[Table 52.11](#) Special Features

Description	Bull Market	Bear Market
Partial rise, success	75%	71%
Partial decline, success	79%	74%

A partial decline is slightly more reliable in predicting the breakout direction than is a partial rise, as the table shows. In many cases, it may be difficult to determine when a partial rise or decline is happening because of the way price tends to pause as it crosses the rectangle, but if you can identify them, they allow entry into a trade before the breakout. On average, your profits should be larger with lower risk, providing you use stops to limit adverse moves.

If price touches the horizontal rectangle trendline and reverses instead of breaking out, close out the trade immediately. Chances are price is going to cross the rectangle to the other side.

Experience

I have used rectangle tops to enter trades. In several of the trades, some of which I discuss below, I'll buy the breakout and price will reverse, often within a few days. Not only will price reverse, but it collapses, many times staging a big loss (FMC, WEX, LRW, and DFG).

FMC Corp

From a low set in 2003, FMC Corp. (FMC) stock continued an uptrend broken only by the 2008 bear market (when price dropped 64%). Once that completed in October, the stock resumed the uptrend and suffered another setback in the summer of 2011 when the stock dropped 31%.

When a rectangle top appeared in late 2013, I became interested because I was looking for a stock with a history of a long-term uptrend. My thinking